

ECONOMICS PAPER 1

(Mock Test 33)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the ‘Time is up’ announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words ‘**END OF PAPER**’ after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. Carmen is a nursing graduate. After working as a full-time nurse in a public hospital for a year, she decides to quit her job and switch to teaching piano full-time.

Which of the following would be the **LEAST** important factor for Carmen in deciding to change her occupation?

- A. Carmen spent a lot of time and money studying nursing.
 - B. The working hours for teaching piano full-time are shorter.
 - C. Working as a nurse in a public hospital has more opportunities for promotion.
 - D. Carmen earns a lot more income from teaching piano.
2. Miss Cheung is considering taking a bus or the MTR to Tsim Sha Tsui. If there is traffic congestion along the road the bus takes, her opportunity cost of taking a bus to Tsim Sha Tsui will _____ because _____.
- A. remain unchanged ... there is no change in the bus fare
 - B. remain unchanged ... the value of taking the MTR does not change
 - C. increase ... the bus journey will be lengthened due to traffic congestion
 - D. increase ... Miss Cheung will be dissatisfied with traffic congestion
3. If a command economy turns into a market economy,
- (1) people will become wealthier.
 - (2) a greater proportion of resources will be privately owned.
 - (3) the quantity of public goods will decrease.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (2) and (3) only
4. Mr. Wong is a small investor. He prefers debentures to shares. Which of the following are possible reasons for that?
- (1) If the company winds up, he can claim repayment prior to shareholders.
 - (2) The return of debentures is higher.
 - (3) He can still receive interest even if the company does not make a profit.
 - (4) He has voting rights in the company's decision-making.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
5. Which of the following is a possible reason for turning a firm from a private limited company into a public limited company?
- A. Ownership and management of the firm can be separated.
 - B. The firm can become a legal entity.
 - C. The firm's accounting information can be kept confidential.
 - D. The firm will have wider sources of capital.

6. The following shows the holiday decorations of a shopping mall in Hong Kong.



Many people like to take photos in front of the decorations. To the shopping mall, the decorations are _____.

- (1) producer goods
 - (2) consumer goods
 - (3) free goods
 - (4) public goods
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only
7. A tutorial school decides to change its class arrangements. Instead of having one tutor teach classes of various grade levels, each tutor is assigned to teach classes of one grade level. Which of the following situations would likely occur?
- (1) The tutorial school can choose the best and most suitable tutor to teach classes of each grade level.
 - (2) The time tutors spend preparing lessons will be shortened.
 - (3) The services provided by the tutorial school will become more standardised.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)
- 8.

	Firm A	Firm B
Number of workers	10	12
Number of working hours per worker per day	8.5	8
Quantity of output per day	850	1,000
Percentage of output with quality up to standard	95%	70%

With reference to the above table, which of the following can best explain the difference in quality of the outputs between firm A and firm B?

- A. The working environment of firm A is worse than that of firm B.
- B. Firm A practices a lower degree of division of labour than firm B.
- C. Firm A uses more producer goods than firm B.
- D. Firm A uses time rate while firm B uses piece rate.

9. Which of the following would raise both the occupational mobility of labour and average labour productivity of an economy?
- The government provides more vocational training courses.
 - The government increases the quota of its skilled immigration scheme.
 - The government sets up a website to provide information on job vacancies.
 - More professional groups tighten their licensing requirements.
10. Some insurance companies pay their insurance agents a basic salary plus commission. From the viewpoint of insurance agents, which of the following is/are (an) advantage(s) of the above arrangement instead of paying commission only?
- The income of insurance agents will be more stable.
 - The cost of monitoring the service quality of insurance agents will be lower.
 - Insurance agents can increase their income by improving performance.
- (1) only
 - (2) only
 - (1) and (3) only
 - (2) and (3) only
11. The following table shows the production plan of a firm. The firm employs two inputs only, namely machinery and labour.

Machinery (units)	Labour (units)	Total product (units)
1	10	5
2	10	15
3	10	28
4	10	Q_1
5	10	Q_2

Suppose the above data illustrates the law of diminishing marginal returns. Which of the following figures is **NOT** consistent with the law?

- $Q_1 = 40$; $Q_2 = 50$
 - $Q_1 = 43$; $Q_2 = 60$
 - $Q_1 = 45$; $Q_2 = 42$
 - $Q_1 = 45$; $Q_2 = 60$
12. A fitness center group has opened several new branches. The group invested a lot of money to promote the new branches, but not many new members have been attracted.
- Based on the above information, the fitness center group may _____.
- enjoy internal economies of scale
 - enjoy external economies of scale
 - suffer internal diseconomies of scale
 - suffer external diseconomies of scale
13. Mr. Cheung runs a second-hand handbag shop and sells second-hand designer handbags. Which of the following would increase its profit-maximising output?
- The monthly rental payment of the store decreases.
 - The demand for second-hand designer handbags increases.
 - The wage rate of workers who repair designer handbags increases.
 - Acquiring second-hand designer handbags becomes more difficult.

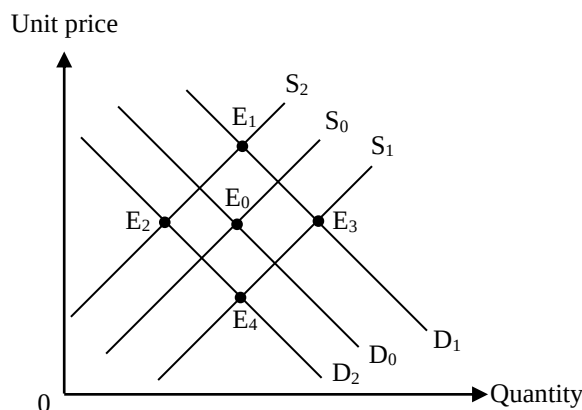
14. The table below shows the cost-output relationship of a price taker. The fixed cost of the firm is \$2.

Output (units)	Average cost (\$)
1	10
2	11
3	12
4	13
5	14

If the average cost per unit of output falls by \$2 and the market price is \$12,

- A. diseconomies of scale will emerge.
 - B. the profit-maximising output will increase from 3 units to 5 units.
 - C. the maximum profit of the firm will be \$6.
 - D. the minimum total cost of the firm will be \$30.
15. Which of the following is/are assumed to be constant when we construct the market supply curve for chicken legs?
- (1) the market price of chicken wings
 - (2) the market price of chicken legs
 - (3) the per-unit subsidy provided by the government
- A. (1) only
 - B. (2) only
 - C. (1) and (3) only
 - D. (2) and (3) only
16. McDonald's Hong Kong announced that starting from 2 January 2024 the prices of all products will increase by \$1. Which of the following statements is/are **CORRECT**?
- (1) The total revenue of McDonald's Hong Kong from providing restaurant services will increase.
 - (2) The consumer surplus of restaurant services from McDonald's Hong Kong will decrease.
 - (3) The proportion of higher-priced meals sold to lower-priced meals sold will increase.
- A. (2) only
 - B. (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
17. When good X and good Y are in _____, an increase in the price of good X will lead to a decrease in the _____.
- A. joint supply ... quantity transacted of good Y
 - B. competitive supply ... total revenue from the sale of good Y
 - C. joint demand ... producer surplus in the market of good Y
 - D. competitive demand ... producer surplus in the market of good Y
18. Which of the following situations is most likely to increase the supply of construction workers?
- A. There are more job opportunities in other industries.
 - B. The average wage rate for construction workers increases.
 - C. The government announces the construction of more public housing.
 - D. The government abolishes restrictions on importing foreign workers.

19. The following is a demand-supply diagram for cruise services. The original equilibrium point is E_0 .



Suppose cruise services are normal goods. If people's income increases and the maintenance cost of cruise ships increases sharply, the new equilibrium point will be _____.

- A. E_1
- B. E_2
- C. E_3
- D. E_4

20. The table below shows the total expenditure of Miss Wong and Mr. Li on bread.

Unit price (\$)	Total expenditure (\$)	
	Miss Wong	Mr. Li
5	20	50
6	24	48
7	28	42
8	32	32

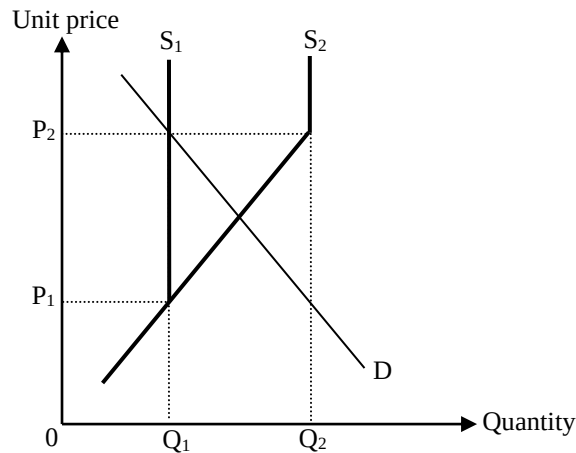
Miss Wong's elasticity of demand for bread is _____ while Mr. Li's elasticity of demand for bread is _____ (without regard to the negative sign).

- A. between 0 and 1 ... 0
- B. between 0 and 1 ... 1
- C. 0 ... 1
- D. 0 ... greater than 1 and smaller than infinity

21. Suppose the demand for good X is a derived demand for good Y. When the demand for good Y decreases, the equilibrium price of good X falls from \$10 to \$8 and the quantity transacted changes by 30%. Which of the following statements is **CORRECT**?

- A. The supply of good X is elastic.
- B. The supply of good X is inelastic.
- C. The demand for good X is elastic.
- D. The demand for good X is inelastic.

22. The following shows the demand-supply diagram for good X.



If the government increases the quota limit from Q_1 to Q_2 , which of the following statements are **CORRECT**?

- (1) The consumers' total expenditure on good X will change from $(P_1 \times Q_1)$ to $(P_2 \times Q_2)$.
- (2) The market of good X will be in equilibrium.
- (3) The marginal benefit of the last unit of good X will decrease.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

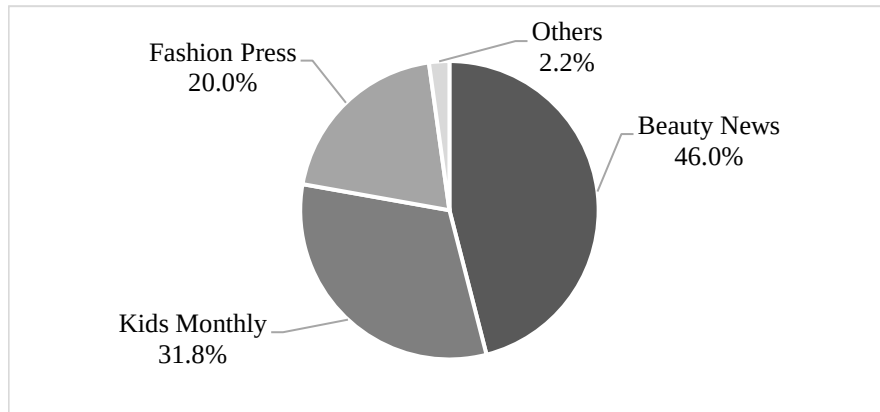
23. Refer to the following demand-supply schedule for good X.

Unit price (\$)	Quantity demanded (units)	Quantity supplied (units)
6	35	15
8	30	20
10	25	25
12	20	30
14	15	35
16	10	40

If the government imposes a \$4 per-unit tax on the producers of good X, the total tax revenue received by the government will be _____ and the price elasticity of demand will be _____ the price elasticity of supply.

- A. \$80 ... larger than
- B. \$80 ... equal to
- C. \$100 ... larger than
- D. \$100 ... equal to

24. The figure below shows market shares in the magazine industry in an economy in 2023.



Based on the information in the figure above, we can conclude that the market structure of the magazine industry in the economy in 2023 can be regarded as _____ because _____.

- A. monopolistic competition ... different magazine publishers engage in non-price competition
- B. monopolistic competition ... there are many magazine consumers in the market
- C. oligopoly ... different magazine publishers publish magazines of different styles
- D. oligopoly ... the magazine market is dominated by a few major sellers

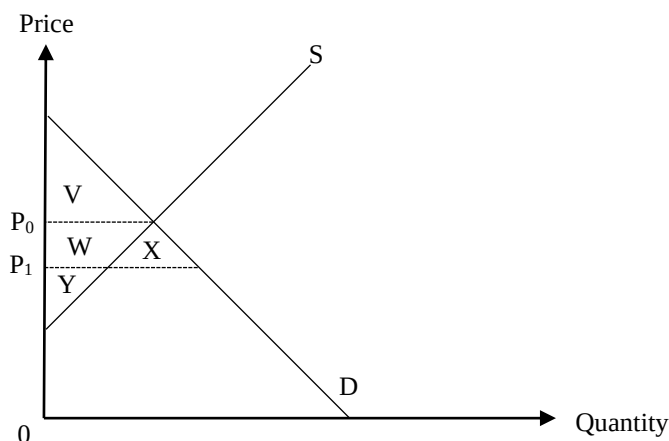
25. Read the following news excerpt.

The annual Hong Kong Brands and Products Expo ends today, with exhibitors offering discounts and promotions in hopes of attracting shoppers to the event.

The above case illustrates the _____ function of price because _____.

- A. rationing ... more buyers are willing to buy the products
- B. rationing ... the products are sold to the highest-valued buyers
- C. allocative ... the arrangement can guarantee that the products can be sold out
- D. allocative ... the buyers are allocated to their preferred products

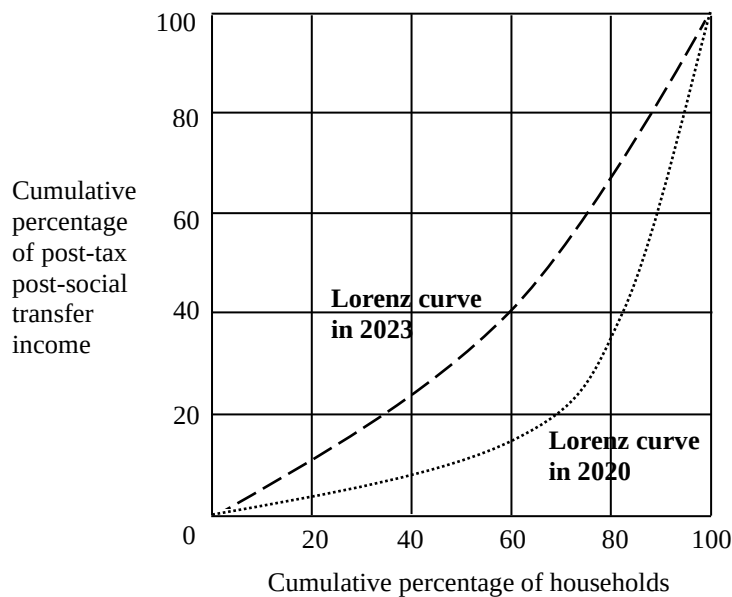
26. The following shows the demand-supply curves for good X.



Suppose the government sets a price ceiling on good X at P_1 . Which of the following is the result of setting the price ceiling?

- A. The consumer surplus is equal to area (V + W + X).
 - B. The total social surplus is equal to area (V + W + Y).
 - C. The producer surplus is equal to area Y.
 - D. The deadweight loss is equal to area X.
27. An environmental organisation proposed that the government impose a tax on plastic tableware. Which of the following statements are **CORRECT** regarding the tax imposed on plastic tableware?
- (1) Consumer surplus in the market of plastic tableware will decrease.
 - (2) If consumers' demand for plastic tableware is inelastic, their total expenditure on plastic tableware will increase.
 - (3) Total social surplus in the market of wooden tableware will decrease.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)
28. The Wai, a shopping mall atop Tai Wai Station owned by the MTR Corporation, was opened in 2023. To the MTR Corporation, which of the following are its private benefits?
- (1) The rental of shops in Tai Wai Station has increased.
 - (2) The number of people taking the MTR has increased.
 - (3) Prices of private residential properties near Tai Wai Station have increased.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

29. Refer to the following post-tax post-social transfer Lorenz curves of Country A.



With reference to the above information, which of the following can explain the change from 2020 to 2023?

- A. The government reduced the transfer payments to the poor between 2020 and 2023.
 - B. Between 2020 and 2023, the tax system changed from regressive to progressive.
 - C. The government reduced the basic allowance of the salaries tax between 2020 and 2023.
 - D. Between 2020 and 2023, the income of low-income households decreased while the income of high-income households increased.
30. The Labour Department has launched the 'Work Orientation and Placement Scheme'. An allowance will be granted to employers who hire persons with disabilities under the scheme and provide appropriate training/support and appoint a mentor for such employees, as well as comply with other requirements of the scheme. Which of the following statements about the scheme are **CORRECT**?
- (1) The scheme helps equalise opportunities.
 - (2) The scheme helps reduce income inequality.
 - (3) The scheme raises labour productivity.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

END OF PAPER